



[2025] UKFTT 01448 (PC)

REF/2024/0045 & 0046

**PROPERTY CHAMBER, LAND REGISTRATION DIVISION
FIRST-TIER TRIBUNAL**

IN THE MATTER OF REFERENCES FROM HM LAND REGISTRY

BETWEEN

SUBHASH BHIMA

Applicant

and

BALJINDER KUDHAIL

Respondent

**Property Address: Flat 9 Churchill Court, Albert Road, Ilford IG1 1NG [2024/0045]
Flat 32 Beehive Court, Beehive Lane, Ilford IG1 3RR [2024/0046]
Title Number: EGL34032 [2024/0045] & BGL104429 [2024/0046]**

**Before: Judge Laura D’Cruz
Sitting at: 10 Alfred Place, London
On: 18th & 19th June 2025**

Representation: Alex Cunliffe of Counsel for the Applicant, instructed by Blakewater Certus solicitors; Paul Dipré of Counsel for the Respondent, instructed on a direct access basis

Key words: *Beneficial interest – resulting trust – constructive trust – investment property*

DECISION

1. The matters that have been referred to the Tribunal are the Applicant’s applications to register restrictions in standard forms A and II against Flat 9 Churchill Court, Albert Road, Ilford (“Flat 9”) and Flat 32 Beehive Court, Beehive Lane, Ilford (“Flat 32”); together “the Flats”.

2. The Flats are both registered in the sole name of the Respondent. He was registered as proprietor of Flat 9 on 26th April 2019, following purchase on 18th April 2019; and of Flat 32 on 15th July 2020, following purchase on 21st October 2019.
3. The Respondent is an estate agent and what might be described as a family friend of the Applicant.
4. The Applicant claims he is a joint beneficial owner of the Flats under either a resulting or a constructive trust. In brief terms, he says that he discussed joint property investment with the Respondent, and transferred him funds for the purpose of purchasing the Flats.
5. The Respondent's position is that there was no discussion of joint property investment in relation to either of the Flats, and that there were no payments, meaning that there is neither a resulting nor a constructive trust. He does not take any what I would describe as technical legal points; rather, this turns on disputes of fact.
6. There is no real disagreement as to the relevant principles, which I summarise below:
 - (a) There is a presumption that the beneficial ownership of a property follows the legal ownership. However, this is only a presumption. Here, the Applicant must rebut the presumption to establish that he has a beneficial interest. The burden is on the Applicant; he must prove his case on the balance of probabilities.
 - (b) A resulting trust arises where a voluntary payment is made for the purchase of property. There is a presumption that the payment was not a gift; rather, the property is held on trust for the payer (either solely or jointly, depending on contributions).
 - (c) A common intention constructive trust arises where there is a common intention that the beneficial ownership of a property is to be shared. The party claiming an interest must establish that a common intention existed, and that they have acted to their detriment in reliance on it. The common intention can be express, where there is an expressed agreement, arrangement or understanding, or it can be deduced from conduct, even when nothing is articulated.

The Applicant's case

7. The Applicant avers that:
 - (a) he has known the Respondent (and the Respondent's father) for a number of years;
 - (b) towards the end of 2017, he spoke with the Respondent and his father and asked them to assist him in investing in property in the Respondent's area. The Applicant himself resides abroad;
 - (c) in March 2019, the Respondent proposed purchasing Flat 9 (previous properties in which they were interested having fallen through), on the basis

that the Applicant would contribute £65,500, the Respondent the same, the remainder would be funded by a mortgage, and the property would be held jointly. The property/mortgage were to be in the Respondent's sole name because the Respondent told the Applicant he was ineligible for a mortgage as he lived abroad. Flat 9 was purchased in April 2019;

- (d) in August 2019, the Respondent proposed purchasing Flat 32, on the basis that the Applicant would contribute £80,000, the Respondent £45,000, the remainder funded by a mortgage, again jointly but in the Respondent's sole name. Flat 32 was purchased in October 2019;
 - (e) both Flats were to be held jointly in proportion to their respective contributions;
 - (f) the Flats were rented out by the Respondent, with some of the rental proceeds being paid into an account in the name of the Applicant's wife. Approximately £7,000 was paid, the last payment being in September 2022;
 - (g) after that, there was a breakdown in relations. Towards the end of 2022, there were plans for the Applicant to purchase Flat 32 from the Respondent, but this was never completed;
 - (h) the Applicant has since discovered that the Flats were purchased for less than he was told. He does not believe that the Respondent contributed any deposit.
8. In relation to payments, he avers that, between December 2017 and September 2019, he caused to be made four payments totalling £200,000 to an account specified by the Respondent. I say caused to be made quite deliberately, because the evidence of payment from the Applicant does not show all the payments being made by him directly. I also say an account specified by the Respondent deliberately, because the evidence does not show payments directly to the Respondent's personal account.
9. The payments alleged are as follows:
- (a) £60,000 in December 2017. The evidence of this is a copy of a handwritten Funds Transfer Form for a customer named Galaxy Global General Trading, requesting a transfer of £60,000 to "Foundations". The form is stamped as having been received by the Abu Dhabi Islamic Bank on 20th December 2017;
 - (b) £80,000 in May 2018. The evidence of this is what looks to be a screenshot of a Rakbank Business Banking app showing a scheduled transfer of £80,000 to "Foundations". The transferor and the date are not apparent;
 - (c) £10,000 in November 2018 in cash. There is no supporting evidence of this;
 - (d) £50,000 on September 2019. The evidence of this is what appears to be a very blurry photograph of a webpage showing a telegraphic transfer of £50,000 from AsiaticSG to "Foundations". The date is not apparent;

- (e) the Applicant alleges that they were all made to the same account with the name Foundations (“the Bank Account”). The IBAN of the Bank Account is shown on the three supporting documents.
10. It is right to note that the Applicant’s case as to payments being made indirectly has not always been clear. In the RX1s and the statement of case, there is no suggestion that the transfers were made other than by the Applicant. His first witness statement is perhaps slightly more ambiguous, in that he states, “*I had secured financial support from trusted friends and family and I was looking for potential opportunities to invest in property in the United Kingdom*”, but also, “*I sent the following funds...*”. He was later specifically directed to explain his source of funds (further explained below), and provided a further witness statement accordingly, in which he explains that his friend Mr Kumar lent him the money for the Flats, transferring it directly to the Bank Account from accounts within his control. He also goes on to explain his efforts to repay Mr Kumar, including his wife’s family paying him back £60,000 in India from her share of an inheritance from her grandmother. There is no evidence from Mr Kumar himself.
11. The Applicant also relies on messages between the parties, some from the time of the purchases and some later when the dispute arose:
- (a) on 4th March 2019, the Respondent messaged the Applicant with the address of Flat 9;
 - (b) on 2nd August 2019, the Respondent messaged the Applicant with the details of the conveyancing solicitor’s bank account;
 - (c) on 9th September 2019, the Respondent messaged the Applicant “Foundations”, followed by his business address;
 - (d) on 10th September 2019, the Respondent messaged the Applicant with the detailed of the Bank Account, with the account name given as “Foundations”;
 - (e) on 3rd November 2019, the Applicant messaged the Respondent with his wife’s bank details;
 - (f) on 10th December 2019, the Respondent messaged the Applicant with what appears to be a spreadsheet;
 - (g) on 2nd March 2022, the Applicant messaged the Respondent with photos of (i) a printed document containing basic financial information relating to both Flats, consistent with the Applicant’s case, particularly in relation to the source of the deposits; and (ii) a handwritten document containing largely the same information, reproduced below;

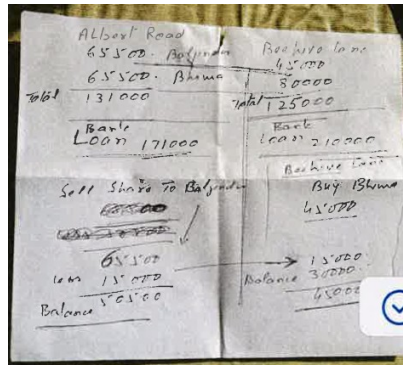


Figure 1 Handwritten Note

- (h) in September, October & November 2022, there are lots of messages relating to the Applicant's purchase of Flat 32, with a general pattern of the Applicant chasing the Respondent and getting increasingly impatient;
 - (i) on 26th November 2022, the Applicant messaged the Respondent, including stating the following *"I feel you are not the Baljinder I knew and whom I trust blindly with all my life savings and money. I purchased Flat 9 and Flat 32 on your say so and sent you money as you requested blindly. Before you used to send me both apartments ledger but you didn't send me that information recently. I never questioned you as I always listen to you and was guided by you"*. In a later message on the same day, the Applicant states, *"We you purchase this property for our partnership"*;
 - (j) on 9th December 2022, the Applicant messaged the Respondent, including stating the following *"We have 2 properties in our partnership. Namely: Flat 9, Churchill Court, Ilford and 32 Beehive Court, Beehive Lane, Gants Hill Ilford. You was always aware that I wanted to settle in one property and keep for myself, so we decided together that I would keep Beehive Land property from the partnership. So far, I have listened to everything you told me but I now have to think about my own health, mental state and financial position after giving you all of my life savings and money"*;
 - (k) on 18th December 2022, the Applicant messaged the Respondent, including stating the following, *"... when we had agreed that I would have the Beehive Lane property as part of my share for the partnership and you would keep the other Ilford property"*;
 - (l) on 23rd January 2023, the Applicant messaged the Respondent, including stating the following, *"I trust you and your father a lot transferring my money to you and Foundations to buy the 2 apartments without hesitation"*;
 - (m) there are occasional replies from the Respondent, but the vast majority of the messages are from the Applicant. The Respondent's replies talk about why there have been delays with the purchase of Flat 32, but there is no denial or rebuttal of the Applicant's other comments.
12. Finally, I note that the Applicant's evidence refers to other payments between the parties. There is in particular a document detailing a list of payments, which records the return of £47,500 from the Respondent to the Applicant/his family across several

payments in early 2019; and then a loan of £30,000 for the Respondent's personal use in November 2019, of which £10,000 was returned in October 2022. The Applicant confirmed in his oral evidence that the £47,500 was the return of part of the £200,000.

The Respondent's case

13. The Respondent accepts that the Applicant is a family friend, but denies that there has ever been any sort of business relationship between them. His evidence is not far from being a bare denial of the Applicant's allegations: he says there were no discussions of joint investment and there were no payments. Perhaps because his own evidence is limited, much of his case is focused on calling into question the Applicant's evidence. It is convenient to deal with some of these points now.
14. The Respondent made much of the fact that one of the Applicant's RX1 application forms references £150,000 rather than £200,000. To be more accurate, the RX1 relating to Flat 9 – which was purchased in April 2019 – references three transfers between December 2017 and November 2018 totalling £150,00, whereas the other references four transfers between December 2017 and September 2019 totalling £200,000. The Applicant has always been clear in these proceedings that he avers payments totalling £200,000. The difference is readily explained by the fact that the purchase of Flat 9 predates the fourth alleged transfer. I do not consider there is any inconsistency in the Applicant's case in this regard.
15. The Respondent also made much of the fact that the Applicant could not evidence making the payments himself. In this regard, Counsel for the Respondent made some submissions relating to the corporate veil, which I think amounted to saying that the Applicant could not rely on payments made by companies. I do not follow this argument. Provided I accept the payments were made on the Applicant's behalf, he can rely on them.
16. It was also argued that the evidence of payments was in general insufficient, being screenshots and transfer forms, rather than evidence of the transfers themselves; and that the evidence, such as it was, was of payment to "Foundations", with the Respondent denying that he instructed the Applicant to make any payments to "Foundations" or indeed at all, and further denying that the Bank Account has anything to do with him.
17. It is necessary to pause at this point to consider how "Foundations" fits into the picture. The Respondent is an estate agent. He is director of a company called "Foundations Sales & Lettings Limited", which was incorporated on 7th June 2017. The Applicant relies on a business card which has a website and email address suggesting that the Respondent is linked to the name "Foundations Estates".
18. In the earlier stages of these proceedings, there were various applications in relation to the evidence of payments, dealt with in three separate orders. The Respondent applied for specific disclosure on the basis that the Applicant had not provided sufficient proof of payments, but that application was dismissed (the first order). The Applicant applied for specific disclosure, and the Tribunal ordered the Respondent to provide specific disclosure of documents evidencing the receipt of funds by "Foundation Limited" (the second order), later supported by an unless order (the

third order). The Tribunal also ordered both parties to provide specific disclosure of the source of funds for their deposits (the third order).

19. It is worth considering the reasons for the second order in more detail. The order records *“I consider that the case made by the Applicant for these documents... is a good one. The Applicant has produced documents showing the transfer of funds to Foundations Limited. The Respondent’s refusal to produce the ‘matching’ bank statements of Foundations Limited is a breach of disclosure obligations because they either support the Respondent’s case or the Applicant’s case and are disclosable”*. Whilst the order refers to providing documents evidencing receipt of funds, and of course the Respondent’s case is that there was no receipt of funds, the reasons make clear that providing matching bank statements would help resolve the dispute one way or another. I note for completeness that it appears the Tribunal took the name of the company from witness statements provided by the Applicant.
20. The Respondent provided a witness statement in response to the third order. He did not disclose any bank statements, for reasons further explained below. He stated the purchase monies came from mortgages and his own savings, but the only supporting evidence of the source of funds is his HMRC Tax Calculation Summary for 2018-19, showing his income for that year.
21. The Respondent’s witness statement in response points out that the order was for specific disclosure of receipt of funds by “Foundation Limited”, and goes so far as to adduce Companies House evidence of companies known as “Foundations Limited”, and even “All Foundations (UK) Limited”, to demonstrate he has no involvement in either of those companies.
22. This is bordering on farcical. The Respondent is a director of “Foundation Sales & Lettings Limited”. The Applicant adduced evidence of this in his disclosure, and his solicitors wrote to the Respondent on 1st May 2025 to clarify that it was the relevant company. The references to “Foundation Limited” / “Foundations Limited” are evidently in error, carried through from errors in the Applicant’s witness statements. It does the Respondent no credit that he tries to hide behind this error as justifying his lack of disclosure. Even his Counsel conceded he was in breach of the spirit of the order.
23. The Respondent was cross-examined about the content of the messages. There was a suggestion in his responses that he denied the authenticity of the messages. Counsel for the Applicant took issue with any such suggestion as no allegation that the messages were not genuine had not previously been made. Although Counsel for the Respondent attempted to argue that the reference in one of the Respondent’s witness statements to a *“bogus screenshot”* was such an allegation, it is clear from the context that this is a reference to the Rakbank screenshot described at paragraph 9(b) above, and he was not permitted to pursue this.
24. There was also a suggestion that the Applicant had not provided a complete set of messages. It was open to the Respondent to provide his own set, but, as with the bank statements, he failed to avail himself of the opportunity. Both parties had provided screenshots of messages between them, and, in fact, it was the Applicant who had

provided the more complete set. Further, the Respondent was not able to explain what messages were missing, or even what the gist of the missing messages was.

25. Finally, I note that, on the papers, the Respondent had argued the Applicant's purchase of Flat 32 fell through due to issues with money laundering, and that these applications were an act of revenge. This was not pursued by his Counsel. There is nothing in the documents, including the messages in which the purchase of the property was being chased and solicitors' correspondence was being shared, that suggests there was any issue with money laundering.

The oral evidence

26. I have so far focused largely on the documentary evidence, but I now turn to consider the oral evidence. Only the parties themselves gave evidence, and neither was impressive.
27. I deal first with the Applicant. His Counsel very fairly conceded that he had not been a good witness, that he had been "*confused and confusing*". However, Counsel submitted that this was due to a mixture of factors: his age, the passage of time, and his difficulties understanding the questions. In this latter regard, I accept that the Applicant may not initially have understood some of the questions put to him, but this was always resolved by the questions being rephrased or explained.
28. In my judgment, the Applicant was cautious in giving his evidence, often leaving long pauses before answering and/or replying "*I don't know*" to matters that would be expected to be within his knowledge. He gave the impression that he was thinking carefully about what he was going to say and how it would affect his case. That said, he remained firm on the main details (the joint investment, the transfers); it was the peripheral matters (e.g. the repayments to Mr Kumar, the other payments between the parties) on which he was less clear.
29. By way of an example of the latter, his evidence was particularly confusing in relation to the £60,000 paid to Mr Kumar. At points, he appeared to say that the money was given to Mr Kumar before the transfer to the Bank Account, rather than afterwards, as repayment of a loan, as set out in his witness statement. Arguably, this does not matter – either way, the point is that the money was paid to the Bank Account on the Applicant's behalf – but it may go to credibility. In this particular instance, it seems to me that the confusion likely stems from the reference to 2016 in the witness statement, but this was when his wife's grandmother passed away, with the payment coming later. Overall, I prefer the evidence in his witness statement that the money was paid later.
30. The Respondent was almost the opposite of the Applicant in giving his evidence: he answered quickly, without properly listening to the questions, often talking over Counsel, and insisting he had answered a question when he had not. He was evasive and often failed to give a straight answer.
31. The most telling part of the Respondent's evidence was when he was cross-examined about the messages, including the message sent to the Applicant on 10th September 2019 containing details of the Bank Account, as well as the messages mentioning life savings and partnership property. He was unable to provide any proper explanation

for the message containing details of the Bank Account, or as to why he had not immediately responded to the Applicant to deny the various allegations that had been made (in relation to the latter, he said there “*must have*” been such a message, but was unable to remember his response). In my judgment, the issues already discussed relating to the authenticity and completeness of the messages were deflection.

Analysis

32. As I have already set out, the Respondent’s evidence amounts to a bare denial of the allegations made against him, and his case is largely focused on gaps in the evidence on the part of the Applicant.
33. It is correct that the Applicant did not provide the best evidence of transfers being made on his behalf. But he does not have to provide the best evidence, he has to provide sufficient evidence to prove his case on the balance of probabilities. He has provided his own account of what happened, which was clear in relation to the main points, and is largely supported by documentary evidence.
34. In contrast, the Respondent’s case contradicts the documentary evidence. He has no explanation as to why he sent the Applicant bank details, no answer as to why he did not immediately deny the allegations that were being made against him.
35. I note for completeness that Counsel for the Applicant invited me to draw an adverse inference from the Respondent’s failure to disclose bank statements. I do not need to. The failure to disclose bank statements means there is nothing to rebut the Applicant’s evidence (by which I mean his witness evidence and the supporting documentary evidence) that payments were made to a bank account related to the Respondent.
36. I accept that the Applicant provided £65,500 towards the purchase of Flat 9 and £80,000 towards the purchase of Flat 32. I am satisfied that there was an express agreement that the Flats would be purchased by the Respondent but that the Applicant was to have a beneficial interest in proportion to his contribution. I am satisfied that the Applicant has a beneficial interest in both of the Flats based on a resulting trust or alternatively a common intention constructive trust.
37. I note for completeness two submissions made by Counsel for the Respondent. Firstly, he argued that there is no room for the common intention constructive trusts analysis as this is an investment case rather than a family home case. I do not accept that common intention constructive trusts are confined to family home situations, and consider both analyses are possible on these facts. Secondly, he argued that, because the alleged transfers were made prior to the identification of the Flats, the Applicant’s case amounts to equitable tracing. I do not accept this either. The transfers were made for the purpose of purchasing properties, and the fact the properties were not identified until later does not exclude either the resulting or the constructive trust analysis.

Conclusion

38. For the reasons given, I will direct the Chief Land Registrar to give effect to the Applicant’s applications as if the objections of the Respondent had not been made.

39. I turn to consider costs. Ordinarily, the unsuccessful party will be ordered to pay the costs of the successful party: see rule 13(1)(c) of the Tribunal Procedure (First-tier Tribunal)(Property Chamber) Rules 2013 and paragraph 9.1(b) of the Practice Direction. Costs are recoverable from the date of the references to the Tribunal, which in this case took place on 11th January 2024.
40. Here, that would mean an order that the Respondent pay the Applicant's costs, unless there is some good reason to make a different order. I know of no reason why it would not be just to make the usual order in this case.
41. Any application for costs shall be made by 5pm on 1st December 2025 and shall include an estimate of the costs sought. Further directions will then be given as appropriate.

Dated this Monday 3rd November 2025

Laura D'Cruz

BY ORDER OF THE TRIBUNAL